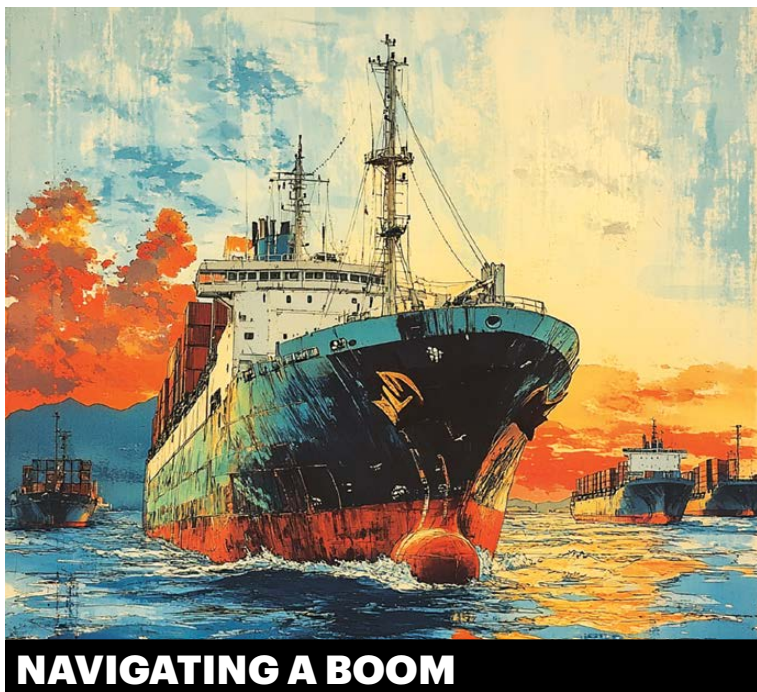




NAVIGATING A BOOM

- ▶ **Government investment in shipping infrastructure:** The government has significantly increased its Budget allocations for the Ministry of Ports, Shipping, and Waterways in recent financial years
- ▶ **Rising market capitalisation:** Cochin Shipyard and Mazagon Dock Shipbuilders have shown strong market capitalisation growth, indicating recovery and expansion in the shipbuilding and logistics sectors
- ▶ **Technological advancements and digitalisation:** The shipping industry is set to embrace technologies like IoT, blockchain, and AI by 2025, aimed at enhancing supply chain transparency, efficiency, and cost-effectiveness
- ▶ **Sustainability challenges and initiatives:** The push for sustainable practices, including cleaner fuel and energy-efficient vessels, will be crucial for reducing the industry's carbon footprint and ensuring long-term growth
- ▶ **Global trade and economic growth:** The industry's growth is strengthened by increased global trade demand and government policies that support infrastructure, economic development, etc.

costs and geopolitical tensions are a challenge. Medium-term we've to be cautiously optimistic, with sustainability and innovation driving change in this industry," he says. His insights highlight the mixed landscape: while opportunities abound, sustainability efforts and geopolitical stability will play pivotal roles in shaping the industry's future.

However, Amar Ambani, Executive Director at YES Securities, cautions: "Freight rates have touched new highs, while the order book for new ships has waned. This needs to be watched."

MARITIME GROWTH

The shipping sector has seen a notable surge in the market capitalisation of some major companies between October 2022 and September 2024. A review of five key players showcases impressive growth figures, reflecting a robust period for the logistics and shipbuilding sectors.

According to this year's BT500 list, the Great Eastern Shipping Company—ranked 377th in 2024 compared to 363rd in 2023—demonstrated solid 56.2% growth in average market capitalisation, which rose to ₹15,040 crore. This reflects the company's strong market positioning and recovery within the logistics sector. The company shows a robust Return on Equity (ROE) of 23.1%, indicating effective management and competitive profitability (see table "Trim and Stability").

The Shipping Corporation of India broke into the Top 500 this year, at No. 478. In the June 2024 quarter, the company's sales revenue surged by 26.2%. Its average market capitalisation surged by 83.4%, jumping to ₹10,106 crore during the BT500 study period. This significant increase suggests robust performance and strategic initiatives that have fortified its